HEADLINE JUDGMENT

Note: 12 Jun figures are intraday prints; 11 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score FALLS to 26/30 — the largest single-session drop of the monitor (28→26) — as a de-escalation unwound two elevated channels on the 11 Jun close. Driver:** on 11 Jun afternoon, after threatening "bigger" strikes and to seize Iran's Kharg Island oil hub, President Trump **called off the strikes**, citing a negotiation breakthrough — points "brought to the highest level of Iranian leadership and approved." (A senior Iranian official disputes that any MOU or framework is agreed.) The de-escalation pulled Brent down to an $89.11 close ($88.02 intraday) — risk premium ~$16/bbl, the lowest of the conflict — collapsed bond vol (MOVE 69.45, below pre-war) and equity vol (VIX 19.44, below pre-war), and rallied bonds. **Two downgrades fired:** 5Y5Y closed 2.1901% (≤2.20%), firing US-inflation 5→4; and 30Y closed 4.9554% (<5.00%) with MOVE <75, firing the Treasury revert 5→4. Both the geopolitical and the jobs/CPI macro premia came out together — the mirror image of the 8 Jun double shock. **Escalation-risk holds at its 5/5 ceiling** (revert watch strengthening): the breakthrough is Trump-claimed and unconfirmed, Iran disputes it, it is <1 day old, the MOU is unsigned and the strait stays closed. Political-stress holds at 5 with gasoline ($4.77) just $0.02 above its trigger. **Reconciliation:** the 11 Jun close reversed my Singapore-AM intraday entirely — Brent $89.11 vs $93.11 (–$4.00), the largest intraday-to-close reversal of the conflict — as the afternoon de-escalation hit after the snapshot; yesterday's 'oil-upgrade path live' call is dead and the bias has flipped to the downside. Sequencing 28→27→26 (held three) → 27 (held three) → 28 (held three) → 26.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

12 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 11 Jun and earlier are final closes (restated continuation series). d/d deltas are 12 Jun intraday vs 11 Jun close; w/w deltas are vs 5 Jun close.

Benchmark	Intraday 12 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	$88.02 /bbl	–$1.09 (–$2.84 w/w)	from $72.48 (+21.4%) — risk premium ~$16/bbl, the lowest of the conflict	CO1 Comdty
Brent · 11 Jun close (carried)	$89.11 /bbl (vs $93.11 intraday I reported)	close ran $4.00 BELOW my intraday — Trump's afternoon de-escalation reversed the whole jump		CO1 Comdty (Close)
WTI front-month	$85.16 /bbl	–$1.00 (–$2.83 w/w)	from $67.02 (+27.1%) — outperforming Brent	CL1 Comdty
Brent–WTI spread	$2.86 /bbl	+$0.77 d/d	widened back out as the WTI draw premium faded	derived
Henry Hub natural gas	$3.08 /MMBtu	–$0.01 (–$0.15 w/w)	from $3.06 (+0.4%) — back near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€47.77 /MWh	–€1.92 (–€0.73 w/w)	from €31.23 (+53.0%) — falling with the de-escalation	TZTA Comdty
Japan/Asia LNG (11 Jun print)	¥3,019	–¥1 vs 10 Jun	from ¥1,669 (+80.9%) — holding ~¥3,020	JGLA Comdty
Brent · April 2026 realized average	$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~$105/b Jun–Jul (Hormuz assumed closed), ~$79/b in 2027			EIA STEO

US Treasuries and inflation expectations — Bloomberg

12 Jun 2026 yields are intraday — final closes may differ. d/d deltas are 12 Jun intraday vs 11 Jun close; w/w deltas are vs 5 Jun close. The 11 Jun close saw a sharp de-escalation rally.

Tenor	Yield (%) — intraday 12 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.08	+1.5	–7.1	+70 (from 3.37%) — Fed-hike repricing unwinding	USGG2YR Index
5-year UST	4.20	+1.4	–6.9	+70 (from 3.50%)	USGG5YR Index
10-year UST	4.47	+1.2	–5.7	+53 (from 3.94%) — 17.7 bp below 4.65% trigger (moved away)	USGG10YR Index
30-year UST	4.96	+0.7	–3.3	+35 (from 4.61%) — below 5.00% (11 Jun close 4.9554% fired the revert)	USGG30YR Index
2s10s spread	+39 bp	–0.3	+1.5	–16 (bear-flattening easing)	USYC2Y10 Index
10Y breakeven inflation	2.31	+0.1	–5.8	+5 (from 2.26%)	USGGBE10 Index
5Y5Y forward inflation	2.19	–0.2	–3.3	+5 (from 2.14%) — BELOW the 2.20% trigger (11 Jun close 2.1901% fired 5→4)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	99.79	12 Jun intraday	+2.18 (from 97.61)	Eased (–0.07 d/d, –0.28 w/w) as the rate-differential bid softened with yields. Still firm; no Stage-4 dollar-break.
MOVE Index (bond vol)	69.45	11 Jun (lagged)	–3.93 (from 73.38)	Collapsed below pre-war (77.03→73.95→69.45) as the de-escalation removed rate-vol fear — the MOVE leg that, with 30Y <5.00%, fired the Treasury revert. Far below the 130 Stage-4 level.
VIX (equity vol)	19.44	11 Jun (lagged)	–0.42 (from 19.86)	Back below pre-war (22.22→19.44) as Trump called off the strikes — equity risk-on resuming.
US gasoline retail avg	$4.77 /gal	10 Jun (latest print)	+$1.25 (from $3.52, +36%)	Fourteenth consecutive decline ($5.18 peak→…→$4.79→$4.77), just $0.02 above the $4.75 threshold — a political-stress downgrade is on the doorstep.

Strait operational state

Indicator	Current reading	Source
Vessel traffic vs pre-war norm	~5% of the pre-conflict 3,000 vessels/month norm; strait “effectively closed.” No reopening yet despite the breakthrough claim.	Reuters / UK Commons Library
De-escalation (11 Jun)	After threatening “bigger” strikes and to seize Iran's Kharg Island oil hub, Trump **called off** the third night of strikes, citing a breakthrough — points “brought to the highest level of Iranian leadership and approved.” CENTCOM had disabled three tankers in the Gulf of Oman earlier.	AP / PBS / Al Jazeera
Iran's position	A senior Iranian official says Iran has **not** agreed to any MOU or framework; Tehran earlier said US strikes had “effectively rendered the ceasefire” strained. The breakthrough is US-claimed and unconfirmed by Iran.	MS NOW / Reuters
Ceasefire / deal status	Tentative 60-day MOU (extend ceasefire, reopen/de-mine Hormuz, frame nuclear talks) still **unsigned**; nuclear-stockpile and the $24 bn frozen-assets issues unresolved. Bessent: no sanctions relief until Iran turns over highly enriched uranium.	CNBC / The Hill / Axios
Lebanon front	A Lebanon–Israel ceasefire extension was signed in Washington; Israel continued limited strikes. The front is calmer than mid-week.	CBS / CNN
US macro overlay	The de-escalation unwound the jobs/CPI rate re-stress: 30Y back below 5.00%, MOVE below pre-war, Fed-hike pricing easing. The mid-June FOMC is the next macro catalyst.	CNBC / BLS / Bloomberg

2 · US economic shock — analysis with bond yields

The US economic shock eases to **the lower half of Stage 3** (26/30) as the de-escalation unwinds the premia that had built across oil and the rates/vol complex. Trump's called-off strikes pulled the geopolitical risk premium out of oil and, with it, the jobs/CPI-driven rate re-stress: 5Y5Y fell below 2.20% (US-inflation 5→4) and 30Y closed below 5.00% with MOVE below 75 (Treasury revert 5→4). The bias has flipped to the downside, with three further downgrades now in view. No Stage-4 signal; the dollar is easing, not breaking.

2.1 · Bond-yield transmission

12 Jun yields are intraday; d/d vs 11 Jun close, w/w vs 5 Jun. **Two downgrades fired on the 11 Jun close; score 28→26.** 5Y5Y closed 2.1901% (≤2.20%) and 30Y closed 4.9554% (<5.00%) with MOVE 69.45 (<75) — firing US-inflation 5→4 and the Treasury revert 5→4. 12 Jun intraday gives back a touch of the rally: 30Y 4.9625% (+0.7 bp, still <5.00%), 10Y 4.4730% (+1.2 bp), 5Y5Y 2.1885% (still <2.20%); Brent $88.02 (–$1.09 d/d).

(i) Inflation anchor — broke below the trigger (downgrade fired). 5Y5Y forward closed 2.1901% on 11 Jun, the first sub-2.20% close of the conflict, and is 2.1885% intraday — +4.6 bp vs pre-war, fast normalizing as falling oil pulls breakevens down (10Y BE 2.31%, –5.8 bp w/w). **US-inflation downgraded 5→4.** A close back >2.20% would reverse it; continued easing toward the 2.142% pre-war anchor would take it to 3.

(ii) Long-end — back below 5.00%; Treasury reverted. 30Y closed 4.9554% on 11 Jun and is 4.9625% intraday — below 5.00% with MOVE collapsing to 69.45 (below pre-war), so both legs of the revert cleared and **Treasury-stress reverted 5→4**. 10Y at 4.4730% is 17.7 bp below the 4.65% trigger (was ~10), and the curve is little changed at +39 bp (2s10s). The jobs/CPI rate re-stress is unwinding.

(iii) Oil — risk premium at conflict lows; holds at 3, downside risk. Close path: $91.47 (10 Jun) → $89.11 (11 Jun) → $88.02 intraday (12 Jun). The called-off strikes pulled the premium to ~$16/bbl (+21.4% vs pre-war), the lowest of the conflict. Holds at 3, but **a sustained move <$80 would downgrade it to 2** (→25/30). The EIA June STEO (9 Jun) assumed ~$105/b Jun–Jul on a closed strait — a reopening would imply a much lower path.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — sustained weak-demand auctions, indirect-bidder withdrawal, MOVE above 130, HY spreads above 500 bp. The de-escalation has moved the complex away from Stage 4.

Threshold A · 13 May 30Y auction. Tripped (historical). Cleared at 5.050%. With 30Y back below 5.00% and bond vol collapsing, the mid-June 30Y auction (§6) should price more easily than mid-week.

Threshold B · 30Y above 5.20% for five sessions with 10Y above 4.65%. Inactive, receding. 30Y 4.9625% is 24 bp below the 5.20% trigger; 10Y 4.4730% is 17.7 bp below 4.65% — both moved back from the trigger as yields fell.

Threshold C · MOVE above 130 plus HY OAS above 450 bp. Unwound. MOVE collapsed to 69.45 (below pre-war) and VIX to 19.44 (below pre-war) — the mid-week vol re-stress has fully reversed. Both far below Stage-4 levels. HY OAS not in the BBG sheet — watch externally.

2.3 · Cross-asset

The dollar eased to 99.79 as yields fell and the rate-differential bid softened — still firm, not breaking. Bond vol (MOVE 69.45) and equity vol (VIX 19.44) both fell below pre-war as Trump called off the strikes: the cross-asset complex is normalizing toward its pre-war state across the board. The Brent–WTI spread widened back to $2.86 as the mid-week US-draw premium faded. The whole risk structure — oil, rates, vol — is re-converging on pre-war levels, leaving the score's remaining elevation concentrated in the ceiling channels (maritime, escalation, political).

3 · Shock score

Total: **26/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Traffic ~5% of normal; strait "effectively closed." No reopening yet despite the breakthrough claim; MOU unsigned; CENTCOM disabled three tankers mid-week.	↑ at ceiling. ↓ traffic >25% normal for 10 sessions / strait reopened → channel to 4.
Oil price shock	3/5	**Held at 3 — downside risk.** $89.11 close 11 Jun → $88.02 intraday 12 Jun; +21.4% vs pre-war; risk premium ~$16/bbl, the lowest of the conflict. The de-escalation is pulling it lower.	↑ Brent >$100 sustained → to 4. ↓ Brent <$80 sustained → to 2 (→25/30).
US inflation impulse	4/5	**DOWNGRADED 5→4.** 5Y5Y closed 2.1901% (11 Jun), the first sub-2.20% close of the conflict; 12 Jun intraday 2.1885%. Falling oil is pulling breakevens down (10Y BE 2.31%).	↑ 5Y5Y close >2.20% sustained → back to 5. ↓ 5Y5Y toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	**REVERTED 5→4.** 11 Jun close: 30Y 4.9554% (<5.00%) with MOVE 69.45 (<75) — both revert legs cleared. The jobs/CPI rate re-stress is unwinding with the de-escalation.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	5/5	**Held at 5 — downgrade on the doorstep.** Gasoline $4.77 (10 Jun), fourteenth consecutive decline, just $0.02 above the $4.75 threshold. Falling oil should carry it under soon.	↑ at ceiling. ↓ gasoline <$4.75 with stable downtrend → channel to 4 (imminent).
Escalation risk	5/5	**Held at 5 — revert watch strengthening.** Trump called off the third night of strikes citing a breakthrough "approved at the highest level of Iranian leadership." But Iran disputes any MOU is agreed, it is <1 day old, the MOU is unsigned and the strait stays closed.	↑ at ceiling. ↓ verified CBMs, a signed MOU, or a sustained absence of incidents → back to 4 (building).
TOTAL	26/30	**Crisis band — largest single-session drop of the monitor (28→26).** The de-escalation fired US-inflation 5→4 and the Treasury revert 5→4 on the 11 Jun close. The bias has flipped to the downside: three further downgrades are in view — political-stress (gasoline → $4.75), oil (Brent → $80) and escalation (a signed deal) — each toward 25 or below.	

4 · What's changed since the last edition (11 Jun AM → 12 Jun AM)

Score falls to 26/30 — two downgrades on the 11 Jun close. US-inflation 5→4 (5Y5Y <2.20%) and the Treasury revert 5→4 (30Y <5.00% with MOVE <75). The bias has flipped from upside to downside. Source: Bloomberg 11 Jun close.

De-escalation — Trump called off the strikes. After threatening "bigger" strikes and to seize Iran's Kharg Island oil hub, Trump walked them back on 11 Jun afternoon, citing a breakthrough "approved at the highest level of Iranian leadership." A senior Iranian official disputes any MOU is agreed. Escalation-risk holds at 5 with a strengthening revert watch. Source: AP / PBS / Al Jazeera / MS NOW.

Oil and vol rolled over. Brent $89.11 close (11 Jun) → $88.02 intraday; risk premium ~$16/bbl, the conflict low. MOVE collapsed to 69.45 and VIX to 19.44 — both below pre-war. The premia across oil, rates and vol are re-converging on pre-war. Source: Bloomberg.

11 Jun close vs my intraday — the largest reversal of the conflict. Brent $89.11 vs my $93.11 (–$4.00), WTI $86.16 vs $91.02 (–$4.86), 30Y 4.9554% vs 5.0282% (–7.3 bp), MOVE 69.45. Trump's afternoon de-escalation hit after my Singapore-AM snapshot, reversing the entire intraday oil jump (§9). Yesterday's 'oil-upgrade path live' call is dead. Source: Bloomberg 11 Jun close.

Downside now dominates the watchlist. Gasoline $4.77 ($0.02 above $4.75), Brent $88 (toward the $80 oil-downgrade), and an unconfirmed-but-building deal (escalation revert) are three paths to 25/30 or below. Source: Bloomberg / news wires.

Gasoline $4.77 (10 Jun). Fourteenth consecutive decline, $0.02 above $4.75; the falling oil should carry it under within days. Source: Bloomberg AUTMUSAG Index.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Controlled-corridor normalization	37%	Bilateral deals proliferate; US tolerates to suppress oil but blockade remains. +3 ppt: the called-off strikes and breakthrough claim support normalization.	Brent $82–92; 30Y 4.85–5.00%; MOVE ~69–74; curve normalizing.
Temporary diplomatic patch	24%	Partial reopening via US/China/Pakistan/Gulf pressure without explicit sovereignty concession. +4 ppt: Trump says a breakthrough was “approved at the highest level” — the patch is firming.	Brent $80–90; yields easing; ~$6–10/bbl risk premium.
Controlled corridor + US escort clash	15%	US resumes Project Freedom; IRGC responds. –3 ppt: strikes called off, de-escalation under way.	Brent $105–120; 10Y >4.65%; equities –3 to –6%; dollar bid; credit widens.
Renewed kinetic escalation	11%	Full ceasefire breakdown; US/Israeli strikes; Iran strikes Gulf infrastructure or US bases. –4 ppt: Trump walked back the threatened Kharg Island strikes.	Brent $120–140; 10Y >4.75%; 30Y >5.25%; risk-off in equities and credit.
Major regional expansion	6%	Multi-front: Gulf strikes, Lebanon/Iraq/Yemen activation, attacks on US bases; possible mining of the strait. –1 ppt: de-escalation, though Iran's denial keeps tails live.	Brent $150+; emergency policy; SPR draw; HY spreads >500 bp; potential dollar disorder.
Clean settlement	7%	Formal accord restores neutral passage; lifts blockade; mine clearance. +1 ppt: a breakthrough “approved at the highest level” nudges a signed deal closer, if Iran confirms.	Brent <$80; yields stabilize lower; strategic-trust damage persists.

Probability shifts from the 11 Jun edition: controlled-corridor +3 (34→37), diplomatic-patch +4 (20→24), escort-clash –3 (18→15), kinetic –4 (15→11), regional –1 (7→6), clean settlement +1 (6→7). Driver: Trump calling off the threatened Kharg Island strikes and citing a breakthrough “approved at the highest level of Iranian leadership” reverses the 11 Jun escalation shift and moves weight back to the constructive buckets. Counterweight: a senior Iranian official disputes any MOU is agreed, the strait stays closed, and the week's record of strike-then-pause keeps the de-escalation fragile — so the shift is meaningful but not decisive.

6 · Watchlist · next 24–72 hours

Deal confirmation — the swing. Trump claims a breakthrough “approved at the highest level”; Iran denies any MOU is agreed. A signed MOU or verified CBMs reverts escalation-risk 5→4 (→25/30); an Iranian repudiation or fresh strikes re-loads the oil and rate premia.

US gasoline retail <$4.75 — political-stress downgrade. Imminent. $4.77 (10 Jun), fourteenth decline, $0.02 above the trigger. With Brent ~$88 the next print should clear it, taking the score to 25/30.

Oil <$80 sustained — oil downgrade. Brent $88.02 intraday, risk premium ~$16/bbl. A sustained move below $80 downgrades the oil channel 3→2 (also →25/30); a reopening of the strait would accelerate it.

US-inflation / Treasury — confirm the downgrades or re-stress. 5Y5Y back >2.20% would restore US-inflation to 5; 30Y back >5.00% with MOVE >75 would restore Treasury to 5. Both are unwinding for now, but the FOMC could swing them.

Mid-June FOMC. With the de-escalation unwinding the Fed-hike repricing (2Y –7 bp w/w, MOVE below pre-war), the FOMC decision and dots will frame whether the hike scare is over or merely paused.

Strait traffic / reopening. Any verified recovery in Hormuz vessel traffic would begin to pressure the maritime-denial channel (5) — the first crack in the ceiling channels — and confirm the de-escalation.

Mid-June 30Y auction. With 30Y back below 5.00% and bond vol collapsing, the auction should price more easily than the 13 May tail (5.050%) — a clean result would confirm the rate-stress has passed.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. AP, PBS, Al Jazeera, CBS, Reuters, AFP, FT, WSJ, NPR, NYT, CNBC, CNN, MS NOW, Bloomberg; BLS, EIA (June STEO 9 Jun), IEA, IAEA, Federal Reserve (H.15), CME FedWatch. Trump calling off the third night of strikes and citing a breakthrough “approved at the highest level of Iranian leadership” via AP/PBS/Al Jazeera; Iran's denial that any MOU is agreed via MS NOW; Kharg Island strike threat and CENTCOM tanker action via Al Jazeera.

Tier 3 — state media (labelled). Iranian characterizations (ceasefire “effectively rendered,” no MOU agreed) are labelled and corroborated against AP / Reuters / MS NOW; Xinhua, TASS, Tasnim, Fars, Press TV used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (11 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 5 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close through a level (this edition: US-inflation 5→4 on 5Y5Y <2.20%; Treasury revert 5→4 on 30Y <5.00% with MOVE <75). Escalation-risk is event-based, held at 5.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 11 Jun afternoon de-escalation reversed the entire Singapore-AM oil jump — the largest gap of the conflict).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with deal confirmation and the three downside downgrades (political, oil, escalation) now in view.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition two fired on the 11 Jun close (US-inflation 5→4 on 5Y5Y <2.20%; Treasury revert 5→4 on 30Y <5.00% with MOVE <75). Escalation-risk is event-based and reverts only on a signed deal, verified CBMs, or a sustained absence of incidents — not on a one-day, Iran-disputed breakthrough claim.

Pre-war anchor (27 Feb 2026 close). Brent $72.48; WTI $67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline $3.52; Henry Hub $3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.)

Intraday caveat — the largest reversal yet (11 Jun). The latest dated row is a Singapore-AM intraday snapshot. On 11 Jun the snapshot caught an escalation-driven oil jump (my $93.11) that Trump's afternoon de-escalation reversed entirely by the close ($89.11, –$4.00) — the largest intraday-to-close gap of the conflict — alongside a sharp bond rally (MOVE 77→69.45). US-hours headlines and data consistently set the path after the AM snapshot. Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.